

OUR VALUE CREATION MODEL

GRI 2-6



OUR VISION

To be the leading global brand for coconut activated carbon and a leading provider of water purification systems in Sri Lanka and in the region, renowned for technical excellence, customer centricity, innovation and sustainable business practices.

OUR INPUTS



Financial Capital

Represents the financial resources that underpin our value creation.

- » Shareholders' funds – **Rs. 29.37 Bn**
- » Debt capital – **Rs. 20.05 Bn**



Natural Capital

We rely on a renewable, industry by-product as our primary raw material alongside other natural inputs such as energy and water.

- » Renewable raw material consumption – **178,496 MT**
- » Water consumption – **791,147m³**
- » Energy consumption – **1,237,238 GJ**



Social & Relationship Capital

Represents the relationships we have nurtured with customers, suppliers, communities, business partners and other stakeholders over the years.

- » Customers – **>600**
- » Coconut shell and charcoal Suppliers – **>500**
- » Investment in CSR initiatives – **Rs 52.7 Mn**



Intellectual Capital

The research teams, high-tech laboratory capabilities, processes aligned with international certifications and the tacit knowledge acquired over 5 decades of operations that drive our sustainable innovation.

- » Investment in R&D – **Rs. 261 Mn**
- » No. of Certifications – **32**



Human Capital

A multi-skilled, innovation-focused team of **2,084** employees across **8** countries.



Digital Capital

Digital platforms, systems and competencies that strengthen our competitive advantage.

- » Investments in digital platforms and systems – **Rs.70.5 Mn**
- » Digital Marketing Expenditure – **Rs .11.69 Mn**



Manufactured Capital

A manufacturing footprint comprising **7** modern manufacturing plants across **3** countries.

- » PPE – **Rs. 16.17 Bn**
- » Capital expenditure – **Rs. 4.15 Bn**

OUR STRATEGY



Market growth



Strengthen global supply chains



Innovation led growth



Purpose driven and committed teams

ESG MINDSET

OUR VALUE TRANSFORMATION PROCESS

ACTIVATED CARBON SOLUTIONS



Understanding Customer Needs



Research & Development



Sourcing raw materials



Manufacturing activated carbon



Ensuring product quality



Distribute to customers



Understanding customer needs



Design solutions



Commissioning and quality assurance



O&M support

ENVIRONMENTAL ENGINEERING SOLUTIONS

CORPORATE GOVERNANCE AND ROBUST RISK MANAGEMENT

OUR OPERATING CONTEXT

- » Growth potential in the activated carbon industry
- » Raw material procurement challenges
- » Talent attraction and retention
- » Geo-political dynamics
- » Economic landscape
- » Technology and digitalisation
- » Environmental risks and climate change

TOP FIVE MATERIAL TOPICS

- » Materials
- » Regulations and compliance
- » Customer satisfaction
- » Product Quality
- » Economic performance

TOP RISK AND OPPORTUNITIES INCLUDING CRROs AND SRROs

CRRO1, PBR1, PBR4, SRRO1, PBR3, CRRO4, SRRO2, PBR2

* CRROs - Climate Related Risk and Opportunities

* SRROs - Sustainability Related Risk and Opportunities

OUTPUTS AND IMPACTS

RT-CH-000-A



Outputs
53,200 MT
of Activated Carbon



Wastewater treatment and water purification solutions



An array of activated carbon products

Impacts

- » Carbon footprint: **49,785 tCO₂e**
- » Waste : **5,042 MT**
- » Effluents: **360,699 m³**



Climate action and decarbonisation

- » Cutting edge solutions for energy storage.
- » Specialised solutions that improve air quality while reducing emissions.



OUTCOMES FOR OUR CAPITALS



Financial Capital Page 160 to 169

Created value for providers of capital

- » Earnings per share - **Rs. 12.18**
- » Return on equity - **12.3%**
- » Dividend per share - **Rs 4.07**



Natural Capital Page 170 to 195

Strategic emphasis on mitigating our environmental impacts led to

- » Proportion of charcoal sustainably sourced - **61%**
- » Improvement in energy intensity - **7.99 GJ/ per revenue - Rs. Mn**
- » Sustainable water sourcing - **16%** of total consumption



Social & Relationship Capital Page 234 to 247

Mutually beneficial relationships with value chain partners and the community.

- » Customer satisfaction score - **>90%**
- » New customers - **19**
- » New suppliers - **104**
- » CSR beneficiaries - **> 135,000**



Intellectual Capital Page 196 to 205

A suite of products that supports industries in operating more sustainably.

- » New products launched - **14**
- » A portfolio of over **1,500** products in the activated carbon segment and over **100** solutions in environmental engineering solutions.



Human Capital Page 206 to 233

An innovation-focused, future oriented team.

- » Employee retention rate - **85.3%**
- » Payments to employees - **Rs 5.58 Bn**
- » Training hours per employee - **31.1**



Digital Capital Page 258 to 268

The strategic integration of technology strengthened our safety environment, improved our operational efficiency and market reach.

- » Digitalisation of steam Boilers.
- » Enhanced Corporate Website to Improve Customer Interactivity.
- » Digitalise Raw material Procurement system in Thailand.



Manufactured Capital Page 248 to 257

Investments in capacity enhancement

- » Investment in energy storage carbon manufacturing: **Rs. 1,425 Mn**
- » Investment for value added carbon manufacturing - **Rs. 1,264 Mn**
- » Cost savings from lean initiatives: **Rs. 1,163 Mn**

SDG ALIGNMENT



STAKEHOLDERS IMPACTED



Sustainable water management

- » Water and wastewater treatment solutions that enable recycling and reuse.



Safeguarding the wellbeing of people

- » Water purification and contaminant removal solutions.
- » Solutions that facilitate the removal of impurities in pharmaceuticals.



Promoting industrial sustainability and resource efficiency

- » Solutions that enable recovery and reuse of valuable chemicals.
- » Solutions that facilitate the efficient recovery of rare metals such as gold.